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There is much room for improvement, but it is also important to rejoice in the fact that India has achieved an 'inclusive growth miracle'

RETURN TO THE RICH CLUB

A secret ingredient may help make India's re-entry a durable one....

► **IN 1500, INDIA** was one of the advanced economies of the world. Now, it is trying to make its way back into the advanced countries' club. India is the fastest-growing major economy in the world, and is expected to contribute a remarkable 20% of global growth in the coming years (Econofact, 2025). It would be felicitous if the re-entry happened by 2047, a 100 years after independence.

The re-entry will be a remarkable achievement even if it occurs a couple of years or even a couple of decades later. Growth is a marathon, not a sprint.

A question for policymakers to ponder in the interim is: how can India's stay in the club be a durable one?

For example, Argentina was among the world's 10 wealthiest economies in 1913 but it lost steam by 1930s. Brazil was once hailed as the original miracle economy until it wasn't. Similarly, in '80s Japan was believed to be on a path that made it the world's largest economy; in 2025, India appears set to take over Japan as the fourth largest economy. What does economic theory and country experi-

ence teach us about why some countries become permanent residents of the club, while others go in and out, as though on a tourist visa?

When thinking about the lessons from economic theory, I am reminded of the time my American wife first expressed an interest in cooking Indian food. Delighted by her interest, I purchased a cookbook by Madhur Jaffrey. Her wonderful recipes provided not just the list of ingredients, but specified the size of the pot or pan my wife should use, the sequence in which to put in the ingredients and exactly how long to stir them. The result was a reliably delicious gravy. Other cookbooks were less helpful. One of them, which we joke about to this day, simply instructed her to throw all the ingredients simultaneously into a pot of unspecified size and "stir until the gravy is highly delicious".

Economic cookbooks are sadly of the latter variety. In 2001, the World Bank assembled a group of Masterchefs and asked them to come up with a reliable recipe for growing the economic pie. The group included Nobel laureates like Michael Spence and top poli-